

standpoint. These problems will engage our attention in this and the next two chapters. Our discussion will be directed first towards industrial companies generally, following which we shall consider special aspects having to do with oil companies, mining companies and public utilities.<sup>1</sup>

## THE DEPRECIATION BASE

**Depreciation Base Other than Cost.** There is support in accounting circles for the theory that the function of the depreciation allowance is to provide for the *replacement* of the asset at the end of its life rather than merely to write off its *cost*. If this idea were actually followed, the current or expected future replacement cost would be the basis for the depreciation charge, and it would vary not only with the value of the identical asset but also with changes in the character of the item that is expected to replace the one worn out.

Whatever may be said for or against this theory,<sup>2</sup> it is virtually never followed in the form stated. But we do meet in practice with a variant of the idea, *viz.*, the substitution of the replacement value of all the fixed assets *as of a given date* in place of cost on the balance sheet, followed usually by annual depreciation charges based on the new value.

Since 1914 there have been two waves of such revaluations. The first, taking place in the 1920's, marked up prewar costs to the higher values currently prevailing. The second, appearing in 1931–1933, marked down property accounts to the much lower valuations associated with the depression.<sup>3</sup>

*Examples:* In 1926 American Ice Company wrote up its fixed assets by \$7,868,000, and in 1935 it wrote them down correspondingly to restore the valuations to a cost basis. The 1926 write-up resulted in larger depreciation charges thereafter against income, and the 1935 reduction resulted in lower depreciation charges. In 1933 American Locomotive Company

<sup>1</sup> With a very few exceptions the *railroads* charge depreciation only on their equipment (including this item in the maintenance charges). For the year 1937 Class I railroads charged a total of \$191,798,000 for depreciation of equipment and only \$5,236,000 for depreciation of way and structures.

<sup>2</sup> In our view it is at once simpler and more logical to base depreciation on original cost. Replacement cost should affect the accounts *after* replacement takes place (which may never happen) rather than before.

<sup>3</sup> See Fabricant, Solomon, "Revaluations of Fixed Assets, 1925–1934" (*National Bureau of Economic Research Bulletin* 62, 1936), and *Capital Consumption and Adjustment*, National Bureau of Economic Research, Chap. XII, 1938.